

HARBOR FABRICATION CO. - OPERATIONS MEMO

Memo ID: MEMO-2026-018

Date: May 18, 2026

From: Dana Whitcombe, VP of Supply Chain

To: Purchasing

Subject: Diversifying samarium-cobalt magnet supply

Our magnet supply is concentrated in one region. Effective immediately, the single-supplier cap for samarium-cobalt magnet segments (ITM-4403) is lowered from 65% to 60% of each purchase order plan, and every plan must place at least 25% of the total volume with a second supplier.

Please restructure all open and future orders for this part to meet these limits.